

ECONOMY — Fundamental Principles & Microeconomics

Batch 1 of 10 · Sources: Parmar SSC Fatman 2nd Ed. 2026 (Economics Ch.1-2) + Lucent's GK 2026 (Ch.06 §2) · PYQ bucket "01 Fundamental Principles of Economy" (47 Qs, SSC CGL/CPO/CHSL/Stenographer/Phase-XIII, Jul-Dec 2025) · ★ = tested in a real past SSC paper (book source, exam+date+shift cited in A.1)

1 Economics, Economy & Economic Systems

Economics = study of how people/businesses/govts use *limited resources* to produce, distribute, consume goods & services → split into **Macroeconomics** (whole economy, top-down: GDP, inflation, fiscal policy) and **Microeconomics** (individual consumers/firms/markets, bottom-up: pricing, consumer behaviour).

HOOK PESTEL/PESTAL analysis — **E = Economic** ★ (interest rates, inflation, growth are its factors; 6 factors total: Political, Economic, Social, Technological, Environmental, Legal).

Aspect	Macroeconomics	Microeconomics
Father	J.M. Keynes — <i>General Theory of Employment, Interest and Money</i> (1936) ★	Adam Smith — Founding Father of Modern Economics, <i>The Wealth of Nations</i> (1776); Alfred Marshall also called Father of Microeconomics, <i>Principles of Economics</i> (1890)
Focus	Govt/country actions — aggregate demand/supply, prices, national income ★ (Ex: national income is a <i>macro</i> variable, price of tea is <i>micro</i> — a repeatedly tested pairing)	Individual/business actions — demand, supply, competition

TRAP Aggregate Demand (AD) = $C + I + G + (X - M)$ ★ — total demand for all final goods/services in an economy over a period; treating a single commodity as representative of "all goods" is a simplifying macro assumption ★ (an Assertion-Reason PYQ tests exactly this — the Reason "all goods behave identically under inflation" is FALSE, since some prices rise faster than others).

Economic systems

	Capitalist	Socialist (= Centrally Planned) ★	Mixed ★
Ownership	Private	Public/State	Public + Private
Decisions	Market	Central authority	Both
Example	USA	USSR, North Korea	India ★

HOOK **Socialist** = "Centrally Planned Economy" ★ — govt decides what/how/for whom to produce, objective = social welfare not profit. **Mixed economy** ★ = private + public co-exist, market forces given freedom in the private sector while govt regulates strategic/social-welfare sectors. India 1947-1990 followed a **Mixed Economy** ★ (public sector led heavy industry/strategic sectors, private sector handled consumer goods); shifted market-oriented after the 1991 reforms.

A key economic role of govt in **both** developed and developing countries: **framing laws and delivering justice** so markets function smoothly ★ (not merely regulating firms/promoting exports/currency exchange).

Key historical figures

Economist	Known as	Key work / idea
Adam Smith	Father of Modern/Microeconomics	<i>Wealth of Nations</i> (1776) — Invisible Hand ★: individuals pursuing self-interest unintentionally promote market equilibrium/economic welfare (no govt intervention needed); Laissez-faire policy
Alfred Marshall	Father of Microeconomics	<i>Principles of Economics</i> (1890) — demand/supply theory, elasticity, consumer surplus

J.M. Keynes	Father of Macroeconomics	<i>General Theory...</i> (1936) — govt intervention needed to manage "animal spirits" during downturns; fiscal policy/public spending
Lionel Robbins	Scarcity definition ★	<i>An Essay on the Nature and Significance of Economic Science</i> (1932) — economics = science of scarcity/choice: human wants unlimited, resources limited with alternative uses

DOUBT Raw extraction (Parmar) doesn't date Robbins' work; the PYQ book's own explanation dates it to **1932** — used here since it is the tested figure. ⚠ typo carried from Lucent raw extraction: "Irwin Fisher" for Irving Fisher, "A. R. Rodon" for Rosenstein-Rodan (Big Push Theory) — not PYQ-tested in this batch, flagged not corrected.

HOOK **Liquidity Trap** ★ — given by **Keynes**: interest rates near-zero, people hold cash instead of investing (demand for money becomes perfectly elastic w.r.t. interest rate) → monetary policy becomes ineffective even if central bank raises money supply.

2 Classification of Goods & Public Goods

	Rivalrous	Non-rivalrous
Excludable	Private Goods — food, clothing, cars	Club Goods — cinemas, Netflix
Non-excludable	Common Pool Resources — fish stocks, forest timber	Public Goods ★ — national defence, street lights

TRAP **Public goods** are *non-rivalrous + non-excludable* — benefits available to all, no one easily excluded ★. **Non-rivalrous** specifically means one person's use doesn't reduce availability for another (e.g. street light) ★ — NOT "one person's use reduces another's". Clothes are a *private* good, not public (a tested distractor).

Opportunity Cost ★ = value of the next best alternative forgone when a choice is made (repeatedly tested, 4+ PYQs across shifts — always the "next best alternative sacrificed", never "cost incurred in the past" [that's Sunk Cost] nor "total money spent").

3 Sectors of the Economy

Sector	Collar	Nature	Examples
Primary ★	Red	Directly dependent on environment/raw-material extraction from nature ★	Agriculture, fishing, mining, forestry ★ ("backbone of Indian Economy")
Secondary ★	Blue	Manufacturing — transforms raw materials into finished products ★	Manufacturing, construction, processing (e.g. groundnut → oil ★)
Tertiary	White	Services, intangible	Teaching, transport, retail
Quaternary	Gold	Knowledge-based	Banking, IT, research
Quinary	Gold	High-level decision-making	Policy-makers, politicians

HOOK Extraction of oil from groundnut = **Secondary** sector ★ (processing/manufacturing, not primary — the raw material groundnut itself comes from Primary). Agriculture, mining, fishing, forestry = **Primary** ★ — the sector "mainly concerned with" India's economy per one PYQ framing (largest workforce share).

2011 Census	Primary	Secondary	Tertiary
LFPR	54.6% (highest)	24.3%	21.1%
% in GDP	14.39%	31.46%	54.15% (highest)

DOUBT 2011-Census sector figures are time-sensitive; not independently verified against a current Economic Survey. LFPR = Labour Force Participation Rate.

4 Demand, Supply & Elasticity

Law of Demand ★ — inverse relationship between price and quantity demanded, *ceteris paribus* (income, price of other goods, preferences constant) ★. Demand curve slopes downward.

TRAP Exceptions to the Law of Demand ★ (tested repeatedly — know both):

- **Giffen Goods** ★ — inferior/staple goods (e.g. wheat) where demand *rises* with price due to the income effect / absence of alternatives; the "Giffen Paradox" explains why the Law of Demand fails for such highly essential inferior goods when the consumer spends a large income-share on them.
- **Veblen Goods** ★ — luxury goods (iPhone, Mercedes) where demand rises with price because of status/prestige (direct price-demand relationship).

Substitute goods (tea & coffee, Coke & Pepsi) still *follow* the Law of Demand (price of tea ↑ → demand shifts to coffee) — not itself an exception. "Speculative goods" and "Conspicuous goods" are NOT standard named exceptions per this PYQ's answer key (only Giffen/Veblen are).

Elasticity of Demand & Supply

HOOK Formula: $E_d = \% \Delta \text{ demand} / \% \Delta \text{ price}$. Price ↑ 10%, demand ↓ 20% → $E_d = 20/10 = 2$ →

Elastic Demand ★ ($E > 1$: small price change, large demand change). Total revenue is **maximised** when $E_d = 1$ (unitary elastic — MR becomes zero) ★.

Type	Meaning	Example
Perfectly elastic ($e=\infty$)	Tiny price rise → demand to zero	Perfect competition, agriculture (Parmar's own example) — raw extraction's "gold/cars" example flagged as an internal inconsistency
Perfectly inelastic ($e=0$)	Demand fixed regardless of price	Necessities: water, wheat, rice
Unitary elastic ($e=1$)	Proportional change; rectangular hyperbola	—

Elasticity of **supply** ★: $E_s = \% \Delta \text{ quantity supplied} / \% \Delta \text{ price}$. "Relatively elastic supply" ★ = proportionate change in supply > proportionate change in price ($E_s > 1$).

HOOK **Snob Effect** ★ = demand *falls* as a good becomes common (consumer wants exclusivity — opposite of Bandwagon). **Bandwagon/Demonstration Effect** = demand rises because others are consuming it (imitation). **Veblen Effect** = demand rises with price itself (status symbol) — distinct from Bandwagon (imitating consumption pattern, not chasing high price per se).

5 Utility, Costs & Returns

Law of Diminishing Marginal Utility ★ — first propounded by **Hermann Heinrich Gossen** ★ (per the PYQ book's own explanation; not named in the Parmar/Lucent raw extraction). As a consumer consumes more units, marginal utility from each additional unit decreases, can reach zero (satiety) then negative.

Law	Description
Law of Demand	Price & demand move in opposite directions
Law of Diminishing Marginal Product	After a point, increasing one input (others fixed) → declining marginal product ★
Law of Variable Proportions	MP rises, then falls, then turns negative as one input is increased — 3 stages ★

HOOK The **Average Variable Cost (AVC) curve is U-shaped** due to the Law of Variable Proportions ★ (not AFC, which is a simple downward-sloping rectangular-hyperbola-type curve since fixed costs spread over more units).

Returns to Scale	Meaning
Increasing (IRS) ★	Output rises more than proportionally to inputs (e.g. inputs +50%, output +75% ★)
Constant (CRS)	Output rises exactly proportionally

Decreasing (DRS)	Output rises less than proportionally
-------------------------	---------------------------------------

HOOK Economies of Scale ★ — as production increases, average cost per unit falls (fixed costs spread over more units, bulk-cheaper raw materials, division of labour). Do not confuse with "Law of diminishing returns" (opposite direction) — a direct PYQ distractor pair.

Break-even point ★ = where total revenue = total cost (no profit, no loss) — NOT where $MR=MC$ (that's the profit-maximising point).

Capital Formation ★ = part of income used for investment (machinery, buildings, infrastructure) instead of consumption — "net investment"; increases future productive capacity.

Indifference Curve & Isoquant

Indifference Curve ★ = combinations of two goods giving equal satisfaction; convex to origin (diminishing MRS); two ICs never intersect. **Isoquant** = combinations of inputs (labour+capital) giving the same output; slope = Marginal Rate of Technical Substitution.

6 Market Structures

Market	Sellers	Product	Entry	Example
Monopoly ★	One	No substitutes	High barriers	Indian Railways (Parmar's example)
Oligopoly	Few large firms	Similar/differentiated	No easy entry	Telecom, laptops
Monopolistic Competition	Many	Differentiated	Easy	Toothpaste
Perfect Competition	Many	Homogeneous	No barriers	Agricultural products; $E_d=\infty$

7 Macroeconomic Concepts

HOOK MPC (Marginal Propensity to Consume) = $\Delta C/\Delta Y$, $0 < MPC < 1$. $MPC + MPS = 1$. Multiplier = $1/(1-MPC)$.

Aggregate Demand ★ = $C + I + G + (X-M)$ — sum of consumption, investment, govt spending, net exports, for all final goods/services in an economy in a period (usually a year).

Appendix

A.1 — PYQ citation index (bucket "01 Fundamental Principles of Economy", 47 Qs)

Fact tested	Exam · Date · Shift
PESTEL 'E' = Economic	SSC CPO Tier-I, 12/12/2025 (Shift-01)
TR maximised at $E_d=1$	SSC CPO Tier-I, 11/12/2025 (Shift-01)
Public goods non-excludable/non-rivalrous	SSC CHSL Tier-I, 14/11/2025 (Shift-03)
AD single-aggregate-good simplification (A-R)	SSC CGL Tier-I, 20/09/2025 (Shift-02)
Opportunity cost = next best alternative	SSC CGL Tier-I, 20/09/2025 (Shift-01)
Snob effect vs Bandwagon vs Veblen vs Demonstration	SSC CGL Tier-I, 25/09/2025 (Shift-02)
Break-even = $TR=TC$	SSC CGL Tier-I, 14/10/2025 (Shift-02)
Robbins' scarcity definition (1932)	SSC CGL Tier-I, 26/09/2025 (Shift-03)
Invisible Hand = self-interest → market equilibrium	SSC Stenographer, 07/08/2025 (Shift-03)
Macroeconomic indicator = national unemployment rate	SSC Phase XIII, 28/07/2025 (Shift-01)
Aggregate Demand = $C+I+G+(X-M)$	SSC Phase XIII, 24/07/2025 (Shift-01)
Barter double-coincidence of wants (A-R)	SSC Phase XIII, 29/08/2025 (Shift-01)
'What to produce' = capital vs consumer goods	SSC Stenographer, 08/08/2025 (Shift-03)

AVC curve U-shaped (law of variable proportions)	SSC Stenographer, 07/08/2025 (Shift-02)
Elasticity of supply >1 = relatively elastic supply	SSC Phase XIII, 30/07/2025 (Shift-03)
NOT an exception to Law of Demand = Substitute goods	SSC Phase XIII, 25/07/2025 (Shift-03)
Giffen/Veblen as exceptions to Law of Demand	SSC CPO Tier-I, 13/12/2025 (Shift-01)
'What to produce' decision	SSC Stenographer, 08/08/2025 (Shift-03)
Law of Diminishing Marginal Utility (Gossen)	SSC Stenographer, 06/08/2025 (Shift-01); SSC Phase XIII 29/07/2025 (Shift-02)
Match: Law of Demand/Dim. Marginal Product/Variable Proportions	SSC Stenographer, 06/08/2025 (Shift-01)
Scarcity problem = limited resources, unlimited wants	SSC Stenographer, 07/08/2025 (Shift-01)
Capital formation = investment in machinery/infra	SSC Stenographer, 06/08/2025 (Shift-03)
IRS: inputs+50% $\rightarrow$ output+75%	SSC Phase XIII, 29/08/2025 (Shift-02)
Economies of scale = falling average cost	SSC Phase XIII, 02/08/2025 (Shift-02)
Demand curve shows price-quantity relationship	SSC Phase XIII, 26/07/2025 (Shift-02)
Elasticity of supply formula	SSC CPO Tier-I, 12/12/2025 (Shift-02)
Giffen Paradox (necessary goods)	SSC CPO Tier-I, 13/12/2025 (Shift-01)
Indifference curve = equal satisfaction combos	SSC CGL Tier-I, 19/09/2025 (Shift-03)
Opportunity cost (micro) = best alternative forgone	SSC CPO Tier-I, 10/12/2025 (Shift-02)
Law of demand statement	SSC CGL Tier-I, 25/09/2025 (Shift-01)
Liquidity trap (Keynes)	SSC PHASE XIII, 24/07/2025 (Shift-03); 28/07/2025 (Shift-02)
Bhutan = first country, Gross National Happiness	SSC Phase XIII, 28/07/2025 (Shift-02)
Pairing: Macroeconomics-National Income	SSC Stenographer, 08/08/2025 (Shift-01)
India 1947-90 = Mixed Economy	SSC Phase XIII, 29/08/2025 (Shift-02)
Centrally planned vs market economy (statements)	SSC Phase XIII, 29/07/2025 (Shift-02)
Groundnut $\rightarrow$ oil = Secondary sector	SSC CHSL Tier-I, 20/11/2025 (Shift-02)
Primary sector = raw-material extraction	SSC CHSL Tier-I, 19/11/2025 (Shift-03)
Non-rivalrous meaning	SSC CHSL Tier-I, 18/11/2025 (Shift-03)
India's mixed economy under Five-Year Plans	SSC CPO Tier-I, 09/12/2025 (Shift-01)
Socialist = Centrally Planned Economy	SSC CPO Tier-I, 13/12/2025 (Shift-01)
Mixed economy definition	SSC CGL Tier-I, 19/09/2025 (Shift-01)
Govt's economic role = laws/justice	SSC CGL Tier-I, 18/09/2025 (Shift-02)

Coverage: all 47 questions in bucket 01 are represented above or in-body. No questions from this bucket required content outside Parmar Ch.1-2 / Lucent §2 except: Gossen's name (Law of Diminishing Marginal Utility), Robbins' 1932 date, Giffen Paradox naming — all sourced transparently to the PYQ book's own explanation text (A.2).

A.2 — PYQ-book-only facts (not in Parmar/Lucent)

- Hermann Heinrich Gossen as first propounder of the Law of Diminishing Marginal Utility.
- Lionel Robbins' scarcity definition dated to 1932, from "An Essay on the Nature and Significance of Economic Science".
- "Giffen Paradox" as a named term for the Giffen-goods exception.
- Bhutan / Gross National Happiness as first-country fact.

A.3 — Doubts carried forward

Parmar's own examples for Perfectly Elastic Demand ("gold and cars") conflict with its own Perfect Competition example ("agriculture, $E_d=\infty$ ") — both transcribed as printed in the raw extraction, not resolved. Giffen-goods example given as "wheat" (Parmar) rather than the more usual potato/inferior-grain textbook example.

A.4 — Deliberately not built

Parmar's full graph-by-graph descriptions (PPF, MRS formula boxes, cost-curve diagrams) are condensed to their tested takeaways rather than reproduced as graphics, since no PYQ in this bucket tests reading a

specific graph's axis values.